ATAL PENSION YOJANA (APY) - PENSION FOR UNORGANISED SECTOR

1. SCHEME OVERVIEW

Atal Pension Yojana (APY) was launched on 9 May 2015 by the Government of India, focused on workers in the unorganised sector. It is regulated by the Pension Fund Regulatory and Development Authority (PFRDA) under the National Pension System (NPS) architecture. The scheme provides a guaranteed minimum monthly pension of Rs 1,000, Rs 2,000, Rs 3,000, Rs 4,000, or Rs 5,000 after the subscriber attains age 60, depending on contributions made.

2. ELIGIBILITY CRITERIA

Who can join APY:

- Indian citizens between 18 and 40 years of age.
- Must have a savings bank account or post office savings account.
- Aadhaar and mobile number required for enrollment.
- Income tax payers are NOT eligible to join APY (as per October 2022 notification).
- Subscribers already covered under EPF, NPS (Government), or ESIC are NOT eligible.

3. PENSION AMOUNT AND CONTRIBUTION TABLE

Guaranteed monthly pension after age 60 and corresponding monthly contributions:

Rs 1,000 pension: Join at 18 yrs = Rs 42/month | Join at 40 yrs = Rs 291/month.
Rs 2,000 pension: Join at 18 yrs = Rs 84/month | Join at 40 yrs = Rs 582/month.
Rs 3,000 pension: Join at 18 yrs = Rs 126/month | Join at 40 yrs = Rs 873/month.
Rs 4,000 pension: Join at 18 yrs = Rs 168/month | Join at 40 yrs = Rs 1,164/month.
Rs 5,000 pension: Join at 18 yrs = Rs 210/month | Join at 40 yrs = Rs 1,454/month.

Government Co-contribution: 50% of subscriber's contribution or Rs 1,000/year (whichever is lower) for 5 years (FY 2015-16 to 2019-20) for eligible non-income-tax-payer subscribers.

4. DEATH AND SPOUSE BENEFITS

On death of subscriber before age 60:

- Spouse may continue the APY account for the remaining contribution period to receive pension.
- OR spouse may withdraw the full accumulated corpus.

On death of subscriber after age 60:

- Spouse receives the same monthly pension amount as the subscriber.

On death of both subscriber and spouse:

- Nominee receives the accumulated pension corpus as a lump sum (not monthly pension).

5. EXIT, WITHDRAWAL AND PENALTIES

Voluntary exit before age 60: Allowed only in exceptional circumstances (terminal illness or death of subscriber). Only subscriber's own contribution plus net accrued income is returned. Government co-contribution is forfeited on premature exit.

Penalty for non-payment of monthly contribution:

- Rs 1/month for contributions up to Rs 100.
- Rs 2/month for contributions Rs 101 to Rs 500.
- Rs 5/month for contributions Rs 501 to Rs 1,000.
- Rs 10/month for contributions above Rs 1,001.

Enrollment: Any bank branch or post office. Online via net banking.
PFRDA Helpline: 1800-110-708 (Toll Free).